ECONOMIC SURVEYS BY THE OECD

NORWAY

JUNE 1962

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
PARIS

O.E.C.E.
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BASIC STATISTICS

THE LAND

Area (1,000 sq.km)	324
Arable area (1,000 sq.km)	10
Productive forest (1,000 sq.km)	70
Major cities (January 1960)	
Oslo	471,500
Bergen	115,800

THE PEOPLE

Population (Dec. 1961)	3,626,000
No. of inhabitants per sq.km	11
Net natural increase annual rate (average 1957-61)	30,900
— per 1,000 inhabitants (average 1957-61)	8.7
Labour force total (1959)	1,500,000
of which, in agriculture, forestry & fishing	275,000
Net annual migration (average 1956-60)	— 900

PRODUCTION

Gross National Product in 1961 (millions of kroner)	34,000
G.N.P. per head (U.S.$)	1,320
Home food supply (per cent of total food availability, average 1956-57, 1957-58)	102
Gross fixed capital formation (1961)	
— percentage of the G.N.P.	29
— per head U.S. dollars	390

THE GOVERNMENT

Public consumption in 1961 (percentage of G.N.P.)	14
General government current revenue in 1961 (percentage of G.N.P.)	34
Public gross fixed capital formation in 1961 (percentage of G.N.P.)	3
Public debt in 1960 (ratio to general government current revenue)	82

Composition of Parliament: (No. of seats)

Labour Party	74
Conservative Party	29
Centre (Agrarian) Party	16
Liberal Party	14
Christian Democrats	15
Left-wing Socialist Party	2
	150

Last general election: 1961
Next general election: 1965

LIVING STANDARDS

Calories per head per day (1959-60)	2,980
Energy consumption per head in 1959 (O.E.E.C. average = 100)	192
Steel consumption per head in 1959 (O.E.E.C. average = 100)	115
Paper consumption per head in 1959 (O.E.E.C. average = 100)	151
Average hourly earnings of male industrial workers in 1961 (in kroner)	6.92
No. of passenger cars in use per 1,000 inhabitants (Dec. 1961)	78
No. of telephones per 1,000 inhabitants (1959)	194
No. of radio sets per 1,000 inhabitants (Dec. 1961)	343
No. of TV sets per 1,000 inhabitants (Dec. 1961)	30

FOREIGN TRADE

EXPORTS

Exports of goods and services as a percentage of G.N.P. (average 1957-61)	43
Main exports in 1961 (percentage of total commodity exports)	
Base metals and products thereof	26
Forestry products	20
Fish and fish products	17
Machinery, apparatus and transport equipment (excl. ships)	6

IMPORTS

Imports of goods and services as a percentage of G.N.P. (average 1957-61)	46
Main imports in 1961 (percentage of total commodity imports)	
Ships (average 1957-61)	19
Machinery, apparatus and transport equipment (excl. ships)	21
Raw materials (non-edible) incl. fuels and chemicals	23
Base metals and products thereof	10

THE CURRENCY

Monetary Unit: Krone.

Currency unit per U.S. $: 7.14

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1962

PUBLISHED BY
THE ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
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The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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CONTENTS

I. THE GROWTH OF THE NORWEGIAN ECONOMY IN THE 1950's 5

II. THE LONG-TERM PROGRAMME 1962-1965 ... 8

III. RECENT DEVELOPMENTS 10
- Output and demand 10
- Incomes and prices 12
- Fiscal and monetary policies 14
- Balance of payments 19

IV. PROSPECTS 23

V. CONCLUSIONS 25

STATISTICAL ANNEX 29

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NORWAY

1. Following steady growth in the 1950's, the last three years have been marked by strong expansion of output, influenced by buoyant export demand particularly in 1959 and 1960, and by a change in fiscal and monetary policies in a more expansionary direction. In 1961, with home demand rising fast (notably for investment goods), some pressure on prices and the foreign balance developed; re-negotiation of wages and agricultural prices led to increases in nominal incomes, and bank credit expanded significantly, especially in the first half of the year. In the second half, bank advances rose more moderately, influenced by a new credit agreement between the authorities and the credit institutions. But in the first four months of 1962, with a renewed sharp increase in bank advances and some decline in the budget surplus, the expansion of home demand remained strong. Consumer prices continued to rise, despite the introduction of a price stop for a wide range of commodities in January, and the foreign exchange reserves fell.

I. THE GROWTH OF THE NORWEGIAN ECONOMY IN THE 1950's

2. The high level of fixed asset formation has been an outstanding feature of post-war economic development in Norway. In the 1950's, Norway devoted almost 30 per cent of the gross national product to real capital formation; the average rate of European Member countries combined was about 20 per cent. Shipping took a quarter of the total and the industrial sector another quarter. Within the latter sector there was a particularly strong development of the country's large hydro-electric power resources and energy intensive industries such as chemicals and base metals, notably steel, aluminium, nickel and copper. Residential construction took a third of fixed investment.

3. The high level of capital formation was the main factor behind the advance in output. In the 1950's, the real gross national product rose by about 40 per cent, an average annual rate of 3.4 per cent. The expansion was largely due to the advance in productivity; output per person employed rose by 3.1 per cent a year. This was about the same rate as that of European O.E.C.D. countries combined. Norway therefore needed a higher rate of investment than most other countries to achieve a given increase in output.

4. The capital output ratio was influenced by the concentration of investment in very capital-intensive sectors (shipping, hydro-electric power and various chemicals and base metals). Moreover, topography and climate render many investments in Norway, especially housing and transportation, more costly than in many other countries. Another reason for the relatively high capital output ratio in the past decade was probably the small increase in the total labour force - 2.6 per cent in the whole ten-year period; the corresponding rate for European O.E.C.D. countries was 10.7 per cent. Norway, unlike many other countries, had already achieved full employment in 1950, and the growth of the labour force has been insignificant.

5. Some observers have pointed to the possibility that the capital output ratio also might have been affected by policy factors, e.g. the taxation of business incomes, regulation of distributed profits and government influences on the direction of investments - with the implication that different policies would have yielded higher returns. This is, of course, to a great extent a matter of speculation, since the mechanics of the growth process are only imperfectly understood. But the return on investment is a matter of great significance, and the relationship between capital formation and growth clearly is a field for further inquiry.

6. The high rate of investment has very largely been achieved by policies directed towards high levels of demand and activity. Special investment incentives have not been required. On the contrary, over most of the post-war period, investment demand has had to be restrained in order to keep it within the limits of existing resources.

7. A main objective of post-war economic policy has been to achieve a high rate of savings to provide more room for real capital formation, and the rate of savings has been higher than in most other countries. This has been accomplished by the maintenance of relatively heavy taxation and substantial government savings. In the 1950's the public sector accounted for about 45 per cent of total savings, of which two-thirds on central government account. With high tax rates, the Government's current receipts have been sufficient to finance not only current and fixed investment expenditure, but also a substantial amount of lending for investment purposes, largely through the State Banks.

8. The high rate of public savings combined with a system of State Banks have been important instruments in influencing the direction of fixed capital formation. In the second half of the 1950's, almost a third of the increase in total bank credit was provided by these banks; with respect to long-term bank lending, the State Banks' share was considerably higher. In recent years, more than two-thirds of residential construction and about one-third of the financial requirements of agriculture, forestry and fishery have been financed by the State Banks. Their lending for

SAVINGS AND INVESTMENT IN THE 1950's

	(Per cent)
Public savings	44
of which :	
Central Government	30
Municipalities	14
Private savings	56
Total savings	100
Current external deficit	10
Net investment	110

industrial purposes has increased significantly in the last few years. In the case of hydro-electric power, practically all projects have been developed by the Government or the local authorities.

9. In the early 1950's, direct regulations were also an important means of influencing the level and pattern of investment. The only direct controls of any significance which are still maintained are concerned with building activity.

10. With the removal of direct regulations, credit policy became more important. Since the middle of the 1950's the authorities have to a large extent relied on voluntary agreements with the banks and the insurance companies. The agreements have been negotiated in the Joint Consultation Council, consisting of representatives of the authorities, the commercial and savings banks and the insurance companies; the credit institutions have endorsed the agreements and requested their members to follow the recommendations of the advisory committee. The agreements have primarily been aimed at regulating the credit expansion, partly by prescribing to what extent the increase in deposits (savings banks) or total assets (insurance companies) should be invested in government securities, thus limiting the lending capacity of these institutions. The agreements with the commercial banks have included credit ceilings coupled with certain obligations concerning their investments in government securities, and they have tried to influence the direction of commercial bank lending by broad types of activity.

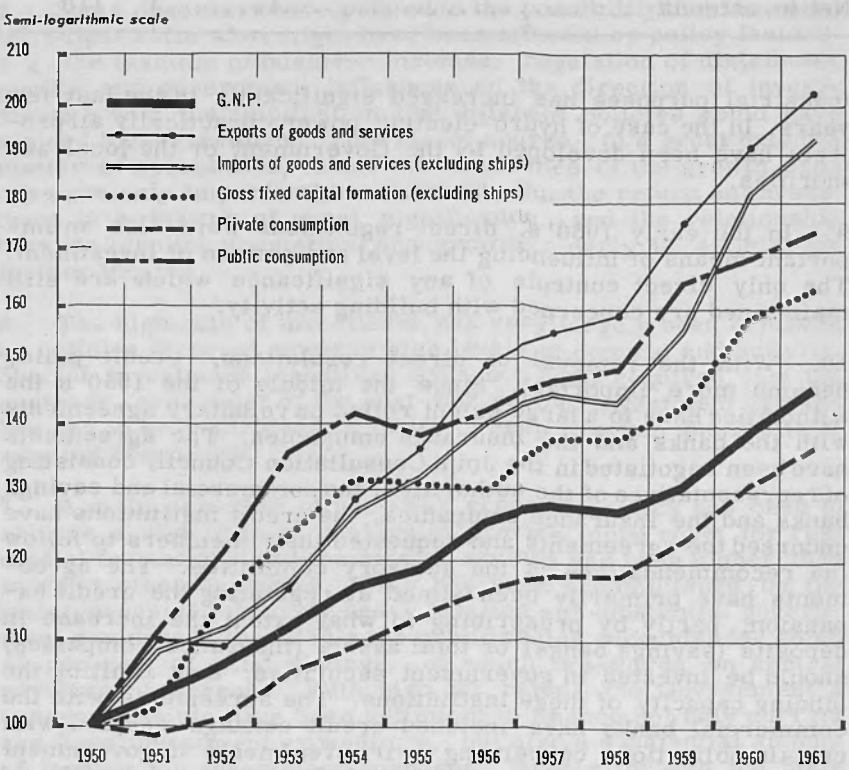
11. Economic planning has, since 1947, been ensured inter alia by the preparation of annual national budgets. In 1948 Norway submitted a long-term programme for the four-year period 1949-1952 to the joint economic programme of the O.E.E.C. This has been followed by similar programmes for the periods 1954-1957, 1958-1961 and 1962-1965. The national budgets and the long-term programmes are submitted to the Storting and constitute the main base for discussions on economic policy.

12. Economic developments in the last programme period, 1958-1961, were more favourable than expected. Increases in productivity faster than had been assumed permitted a gradual change in fiscal and monetary policies in a more expansionary direction. Both consumption and fixed investment therefore rose more than foreseen in the programme. The faster expansion of home demand was also related to a larger inflow of foreign capital than previously expected.

Diagram 1

DEVELOPMENT OF THE VOLUME OF NATIONAL PRODUCT AND EXPENDITURE 1950-1961

(index 1950 = 100)



Source: Norway's submissions to the O.E.C.D. Økonomisk utsyn over året 1961. Nasjonalregnskap 1938 og 1946-1958 Statistisk Månedshefte 1962: 4.

II. THE LONG-TERM PROGRAMME 1962-1965

13. In spite of a high utilisation of resources at the beginning of the period, the authorities expect the real gross national product - according to the Norwegian definition - to increase by 4 per cent a year, rather more than in the 1950's, because of a somewhat faster growth in the labour force. Output per employed

is thought likely to increase at about the same rate as in the past decade.

14. The programme gives priority to investment (excluding ships) and public consumption which should both increase by about 5 per cent a year. Private consumption is expected to rise more slowly than the gross national product, or at an annual rate of 3.6 per cent.

15. The programme aims at a further strong expansion of hydro-electric power plants and the base metal industries; production capacity of aluminium, for example, is expected to increase from 186,000 metric tons in 1960 to 300,000 metric tons in 1965, with an estimated doubling of exports. In some other traditional export industries, notably the fisheries, forestry and mining, further expansion will be hampered by the limited availability of raw materials. The movement towards a higher degree of processing will therefore be encouraged. Norway's association with EFTA has led to a tendency towards a broadening of exports and it is thought likely that Norway's possible participation in the E.E.C. will strengthen this tendency; the removal of tariffs should facilitate the expansion of more highly processed goods.

16. Public investment will also increase considerably. With the number of private cars expected to double between 1960 and 1965 and with a strong increase in commercial road transportation, heavy investments will be required in roads and highways. The programme also aims at some increase in residential construction. A new provincial development fund, replacing the earlier development fund for Northern Norway, is designed to encourage expansion in the less-developed districts with little industry and where the labour force is not fully employed. In 1961 new measures were taken to encourage investment in these districts; after government approval of each individual case, private enterprises may establish tax-exempt funds to be used for industrial investment in the less-developed areas. A more active labour market policy, including vocational training, contributions to removal expenses and other allowances should facilitate the movement of labour to areas where there is a shortage of workers.

17. It is emphasized in the programme that the maintenance of a high level of taxation will be necessary in order to achieve a satisfactory level of savings. It is, however, not expected that domestic savings will be sufficient to finance total investment; it is assumed that it will be necessary to obtain a net inflow of foreign capital amounting to about N.Kr. 2 billion, or about the same amount as was borrowed abroad in the 1958-1961 period, excluding ship credits. In the latter period, however, more than N.Kr. 1 billion were used to strengthen the foreign exchange reserves. The assumptions in the new programme seem to imply that foreign borrowing will be used to a greater extent than in recent years for fixed investment.

III. RECENT DEVELOPMENTS

Output and Demand

18. In the three years 1959-1961 the Norwegian economy expanded fast, both compared with the trend in the 1950's, and with developments in most other countries. The real gross national product rose by 5 per cent a year, with industrial production growing at an annual rate of 7 per cent. The labour force increased somewhat faster than earlier and unemployment was reduced, leading to tight labour market conditions in 1961. Nevertheless, the increase in employment remained moderate, and with a reduction in the normal working week by 3 hours to 45 hours, labour input rose by only 2 per cent over the three-year period. The expansion was therefore largly due to a strong advance in output per man-year, reflecting to some extent the recovery from the 1958 recession.

Table 1. OUTPUT AND PRODUCTIVITY

	GROSS NATIONAL PRODUCT	EMPLOYMENT (MAN-YEARS)	OUTPUT (GROSS NATIONAL PRODUCT) PER MAN-YEAR
1958	100	100	100
1959	104	100	104
1960	110	101	109
1961	115	102	113

19. The upswing from the 1958 trough was initiated by a revival of foreign demand; the 10 per cent increase in exports in 1959 accounted - directly and indirectly - for about two-thirds of the growth in the gross national product (see Table 2). The strong advance in exports continued in 1960, although at a somewhat lower rate than in the previous year, and an investment boom began to develop in the spring. In 1961, with a further strong increase in investment, more than two-thirds of the expansion could be ascribed to the increase in home demand; exports continued to rise, but much less than previously. Home demand remained strong in the first months of 1962.

20. The strong increase in investment has largely concerned inventories and equipment. Investment in machinery and equipment rose by 20 per cent in 1960, and showed a further increase of about 8 per cent in 1961. Construction activity, influenced by restraints on the increase in building licences and state bank credit, has only risen by 2 to 4 per cent a year. Industrial fixed asset formation has increased particularly fast, or by 36 per cent over the three years ending 1961.

Table 2. THE RELATIVE IMPACT [1] OF MAIN FACTORS OF DEMAND ON THE INCREASE IN GROSS NATIONAL PRODUCT

	1959	1960	1961
Increase in gross national product	100.0	100.0	100.0
Resulting from increase in :			
Exports	67.0	43.8	27.6
Gross fixed asset formation ...		20.3	21.5
Stocks		24.9	15.2
Income-independent private consumption and public consumption	33.0	11.0	35.7

1) The indirect effects via inter-trade deliveries, incomes and income dependent consumption are ascribed to the respective factors of primary demand.

SOURCE : Central Bureau of Statistics

21. Investment demand has benefited from a strong expansion of bank credit, and it has been encouraged by the re-introduction, in January 1960, of duty-free imports of some types of machinery and by some reduction of corporate taxes. The widening of markets in Europe seems to have acted as an important incentive to higher industrial investment.

22. Private consumption has risen somewhat faster than the gross national product, with a strong increase in automobile sales after the abolition of the purchase regulations in the autumn of 1960. In 1959 and 1960, personal nominal incomes rose more or less in line with the advance in output. But in 1961 money income increased faster than production, with a strong upward pressure on prices.

Table 3. PRODUCTION AND PRIVATE CONSUMPTION

(Percentage increase)

	GROSS NATIONAL PRODUCT	PRIVATE CONSUMPTION
1959	+ 3.8	+ 4.6
1960	+ 5.8	+ 6.3
1961	+ 5.0	+ 5.2

Incomes and Prices

23. Total factor income rose by 7.4 per cent from 1960 to 1961, with a faster increase in wages and salaries. Farmers' incomes also rose strongly, largely as the result of a new income agreement with the authorities; in a full year the new agreement represents a 10 to 12 per cent increase in farmers' income.

Table 4. INCOME DEVELOPMENT 1959-1961

(N. Kr. million)

	1959	1960	1961	CHANGE 1959-60 PER CENT	CHANGE 1960-61 PER CENT
Net national product	26,610	28,228	30,360	6.0	7.6
Indirect taxation minus subsidies	2,886	3,017	3,293	4.5	9.1
Factor income ..	23,724	25,211	27,067	6.3	7.4
of which :					
Wages and salaries	15,129	15,952	17,366	5.4	8.9
Other incomes in agriculture, forestry and fishing	2,132	2,197	2,384	3.0	8.5
Other incomes, primarily from business enterprises	6,463	7,062	7,317	9.3	4.3
Wages and salaries as percentage of total factor income	63.8	63.3	64.3	-	-

SOURCE : Norwegian Memorandum to O.E.C.D.

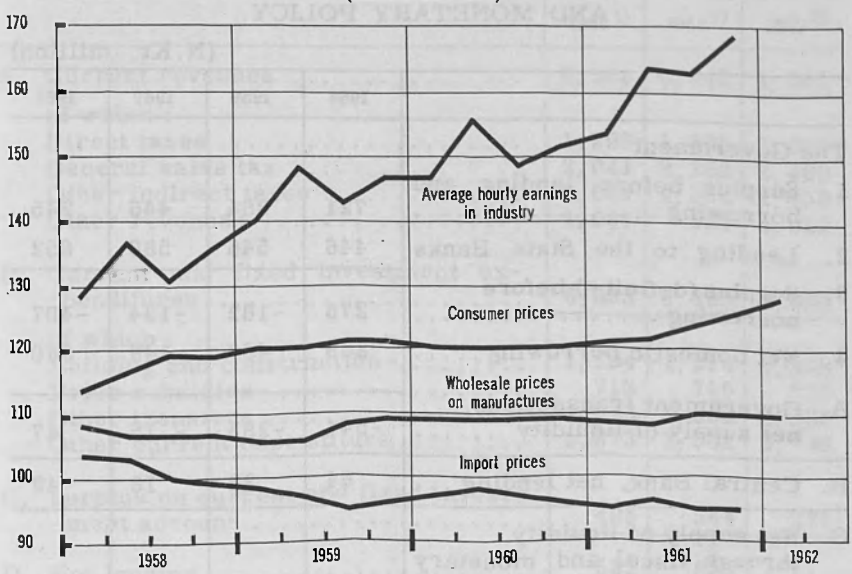
24. The bulk of the wage agreements expired in 1961. The new contracts were to a large extent negotiated on a decentralised trade-by-trade basis to correct some maladjustments resulting from wage-drift and from earlier settlements reached by the central organisations of the employers and the wage-earners. Decentralised bargaining had not taken place since 1956. The settlements in 1961 gave the wage-earners an increase of about 10 per cent on average but with wide variations. The agreements cover two years in most cases and do not include escalator clauses. Instead, most of them provide for an agreed increase in 1962 of 2 to 4 per cent.

25. The wage bill rose by 9 per cent from 1960 to 1961. The new wage settlements accounted for 5 per cent, higher employment for 2 per cent, and the rest was largely due to wage-drift. At the end of 1961, hourly industrial earnings were more than 10 per cent higher than a year earlier, with about three-quarters of the increase resulting from the higher wage rates. From 1960 to 1961, hourly wage costs, including the employers' social security contributions, rose by 7 1/2 - 8 per cent. The rise in wage costs together with higher farmer income have been the main causes of the rise in prices.

Diagram 2

PRICES AND WAGES

(Index 1953 = 100)



Source : O.E.C.D., Statistical Bulletins; Statistisk Månedshefte.

26. The consumer price index rose by more than 5 per cent in the course of 1961; about half of the increase can be ascribed to the new income and wage settlements. In January 1962 a temporary price stop was introduced for all goods in respect of which prices or mark-ups are fixed by the producers or by restrictive business practices; prices on imported goods can only be increased by an amount corresponding to the rise, if any, in import prices. Consumer prices continued to rise in the first months of 1962, partly because official permission has been granted to raise controlled prices in order to cover higher costs. Post, telephone and railroad charges were increased in the summer.

Fiscal and Monetary Policies

27. The expansion over the last three years has been supported by fiscal and monetary policies (cf. Table 5). The overall surplus on government account - including extra-budgetary transactions - has been gradually reduced, and in 1961 there was for the first time in many years a net supply of liquidity from the Government. The change in an expansionary direction was most pronounced in 1959, and it was still quite strong in 1960; in 1961 the change was more moderate. Central bank lending has resulted in a net supply of liquidity, although a rather small one. The more expansionary policy was accompanied by a more moderate increase in the foreign exchange reserves; in the first quarter of 1962 the reserves fell somewhat.

Table 5. THE LIQUIDITY EFFECT OF FISCAL [1] AND MONETARY POLICY

(N.Kr. million)

	1958	1959	1960	1961
The Government				
1. Surplus before lending and borrowing	721	364	446	245
2. Lending to the State Banks	446	546	580	652
3. Surplus (deficit -) before borrowing	275	-182	-134	-407
4. Net domestic borrowing	269	467	149	360
A. Government transactions, net supply of liquidity	-544	-285	- 15	47
B. Central Bank, net lending	64	38	16	49
C. Net supply of liquidity through fiscal and monetary policy (A + B)	-480	-247	1	96
D. Inflow of foreign exchange to the Central Bank through transactions with banks and the private sector	415	505	144	110
E. Change in liquid holdings of the banks and the private sector[2] (C + D)	- 65	258	145	206

1) Cash figures, domestic transactions - excluding foreign borrowing and transfers - including extra budgetary funds.

2) Including statistical discrepancy.

SOURCE : Statistisk Månedshefte and the Annual Report of the Bank of Norway.

28. The central government budget for 1961 was prepared at a time when there was considerable uncertainty concerning future trends in activity both in North America and Western Europe. The budget proposed was therefore deliberately given a rather neutral character, with some reduction in the surplus on current and fixed investment account. When it became clear that the boom was persisting, the authorities tightened fiscal policy by postponing the starts of some government building and construction projects. The strong increase in activity resulted in higher tax revenues than expected, and the surplus on current and investment account therefore rose in 1961.

Table 6. CENTRAL GOVERNMENT BUDGET

(N. Kr. million)

	1960 1)	1961 1)	1962 2)
A. Current revenues	6,508	6,943	7,365
of which :			
Direct taxes	1,299	1,365	1,500
General sales tax	2,041	2,263	2,400
Other indirect taxes	2,087	2,334	2,453
Other revenues	1,081	981	1,012
B. Current and fixed investment expenditures	6,023	6,399	7,089
of which :			
Building and construction	1,194	1,224	1,368
Price subsidies	713	715	785
Other transfers	1,743	1,958	2,200
Other current expenditure	2,373	2,502	2,736
C. Surplus on current and fixed investment account	485	544	275
D. Net lending	532	623	..
Lending, redemption of debt	1,414	1,556	1,424
Borrowing	882	933	..
E. Cash surplus or deficit (-)	- 47	- 79	..

1) Accounts.
2) Budget as adopted and new proposals up to 1st March 1962.

29. The 1962 budget envisages an increase of 6 per cent in current revenues and one of 11 per cent in current and fixed investment expenditures, and it now appears that government wages and salaries will increase by more than provided for in the budget. Although the revenue estimates may be on the

cautious side, the surplus on current and fixed investment account is likely to decline in 1962. The decline may to some extent be offset by a growing surplus on social insurance and other extra-budgetary accounts. It is the intention of the Government to avoid any large outflow of liquidity to the private sector, thereby also imposing rather narrow limits on private purchases of foreign exchange from the Central Bank.

30. The Government has recently prepared a bill which, if passed, will allow enterprises to establish tax-free funds for investment purposes. The proposals would give enterprises the opportunity from 1962 onwards of setting aside up to 20 per cent of their annual income in a fund which would later be used for capital formation. These funds would be blocked at the Central Bank carrying 2 per cent tax free interest and be released - with a tax remittance amounting to 15 per cent - when the authorities consider it advantageous from a general economic point of view; they could not, however, be kept frozen for a period exceeding 4 years. The fact that the total amount, and not only the tax savings, has to be blocked in the Central Bank, would strenghthen the anti-cyclical effect of the system.

31. Monetary policy - which to a large extent relies on the agreements reached between representatives of the authorities and the private credit institutions in the Joint Consultation Council - permitted a rather strong expansion of bank credit between 1959 and 1961. The total amount of funds borrowed by individuals, municipalities and enterprises from credit institutions and on the bond market rose by N.Kr. 700 million, the equivalent of about 2 per cent of the gross national product. The advances of the commercial banks increased particularly fast, and well in excess of the increase in deposits; about half the expansion was financed by a reduction of domestic assets and the other half by net borrowing abroad. The authorities have the power to prescribe reserve requirements amounting to 25 per cent of the net sight liabilities of the commercial banks; since 1955 a reserve ratio of 10 per cent has been in force for the larger banks. Up to 1961 the banks generally had excess reserves, but in 1961 the reserves of an increasing number of banks fell below the prescribed limit, especially after the strong credit expansion during the first part of the year, and the banks increased their borrowing from the Central Bank.

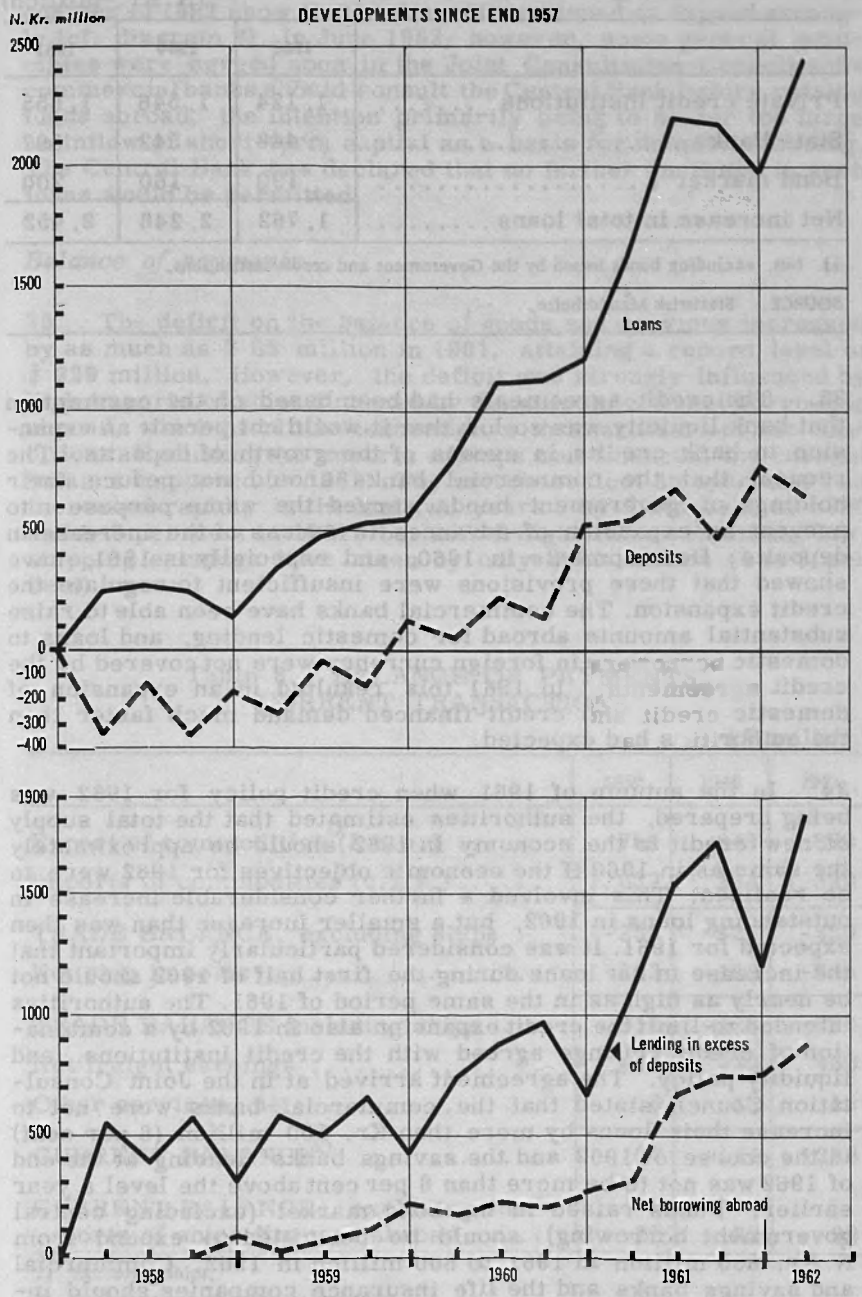
32. Following discussions in the Joint Consultation Council in February 1961, the banks and insurance companies were requested to restrict credit expansion. In spite of this there was an extraordinarily strong increase in bank advances in the first half of the year. An additional agreement was therefore reached in July; the commercial and savings banks should reduce their loans in the second half of the year to a certain level and, together with the insurance companies, increase their holdings of treasury and government guaranteed bonds. These objectives were on the whole reached. But the agreements did not cover loans in foreign currency, and these continued to expand.

Diagram 3

COMMERCIAL BANKS

LOANS, DEPOSITS AND NET FOREIGN POSITION

DEVELOPMENTS SINCE END 1957



Source : Statistisk Månedshefte.

Table 7. NET INCREASE IN LOANS FROM THE CREDIT INSTITUTIONS AND IN THE BOND MARKET

(N.Kr. million)

	1959	1960	1961
Private credit institutions	1,124	1,546	1,655
State Banks	448	542	597
Bond market	190	160	200
Net increase in total loans	1,762	2,248	2,452

1) Net, excluding bonds issued by the Government and credit institutions.

SOURCE : Statistisk Månedshefte.

33. The credit agreements had been based on the assumption that bank liquidity was so low that it would not permit an expansion in bank credits in excess of the growth of deposits. The request that the commercial banks should not reduce their holdings of government bonds served the same purpose : to prevent an expansion of advances in excess of the increase in deposits. Developments in 1960, and especially in 1961, have showed that these provisions were insufficient to regulate the credit expansion. The commercial banks have been able to raise substantial amounts abroad for domestic lending, and loans to domestic borrowers in foreign currency were not covered by the credit agreements. In 1961 this resulted in an expansion of domestic credit and credit-financed demand much faster than the authorities had expected.

34. In the autumn of 1961 when credit policy for 1962 was being prepared, the authorities estimated that the total supply of new credit to the economy in 1962 should be approximately the same as in 1960 if the economic objectives for 1962 were to be realised. This involved a further considerable increase in outstanding loans in 1962, but a smaller increase than was then expected for 1961. It was considered particularly important that the increase in net loans during the first half of 1962 should not be nearly as high as in the same period of 1961. The authorities intended to limit the credit expansion also in 1962 by a combination of credit ceilings agreed with the credit institutions, and liquidity policy. The agreement arrived at in the Joint Consultation Council stated that the commercial banks were not to increase their loans by more than Kr. 500 million (8 per cent) in the course of 1962 and the savings banks' lending at the end of 1962 was not to be more than 8 per cent above the level a year earlier. Funds raised in the bond market (excluding central government borrowing) should be permitted to expand from N.Kr. 660 million in 1961 to 800 million in 1962. Commercial and savings banks and the life insurance companies should increase their holdings of treasury and government guaranteed

bonds. It was furthermore the intention of the authorities to obtain an agreement with the commercial banks concerning their lending based on borrowing abroad. The figures for the first quarter of 1962 show that bank credit continued to expand strongly (cf. diagram 3). In June 1962, however, some general principles were agreed upon in the Joint Consultation Council : the commercial banks should consult the Central Bank before raising funds abroad, the intention primarily being to hinder too large an inflow of short-term capital as a basis for domestic lending. The Central Bank has declared that no further increase in such loans would be permitted.

Balance of payments

35. The deficit on the balance of goods and services increased by as much as $ 85 million in 1961, attaining a record level of $ 229 million. However, the deficit was strongly influenced by high imports of ships financed by the shipowners' net borrowing abroad, which had little connection with internal economic conditions. Excluding the imports of ships thus financed, the current balance improved in 1961. The merchant fleet in operation has increased rapidly in the last two years - by 9 per cent in 1960 and 8-9 per cent in 1961 - but with freight rates remaining low, shipping earnings have risen by only $ 20 million (4 to 5 per cent) a year.

Table 8. BALANCE OF PAYMENTS, CURRENT TRANSACTIONS

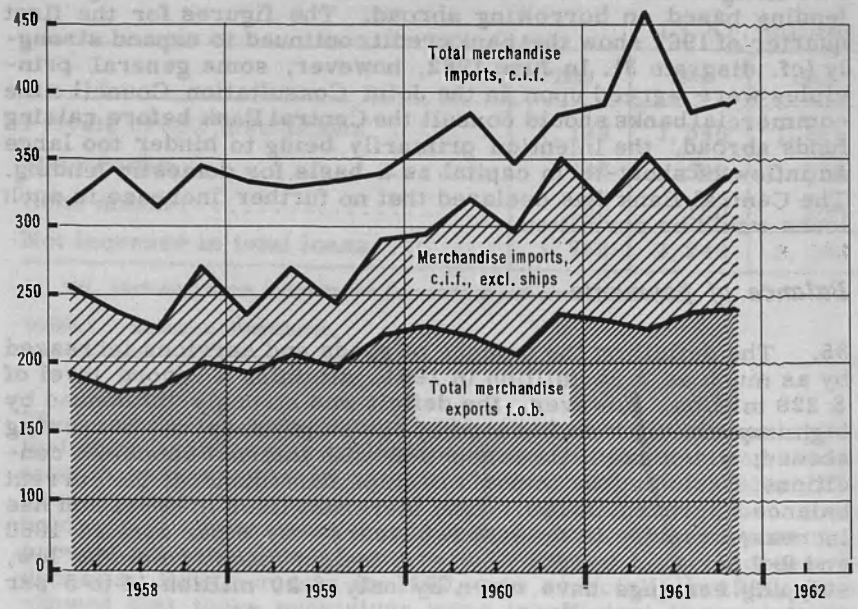
($ million)

	1959	1960	1961
Export of commodities[1] (f.o.b.)	786	843	870
Imports of commodities[1] (c.i.f.)	1,039	1,264	1,329
TRADE BALANCE, excluding ships ..	-253	-421	-459
Net ship imports	-263	-165	-235
TRADE BALANCE including ships ...	-516	-586	-694
Net freight earnings	413	430	450
Other services, net	6	12	15
CURRENT BALANCE[2]	-97	-144	-229
CURRENT BALANCE, excluding imports of ships financed abroad	25	-135	-88

1) Excluding ships.
2) Excluding public unilateral transfers.

Diagram 4

VALUE OF FOREIGN TRADE

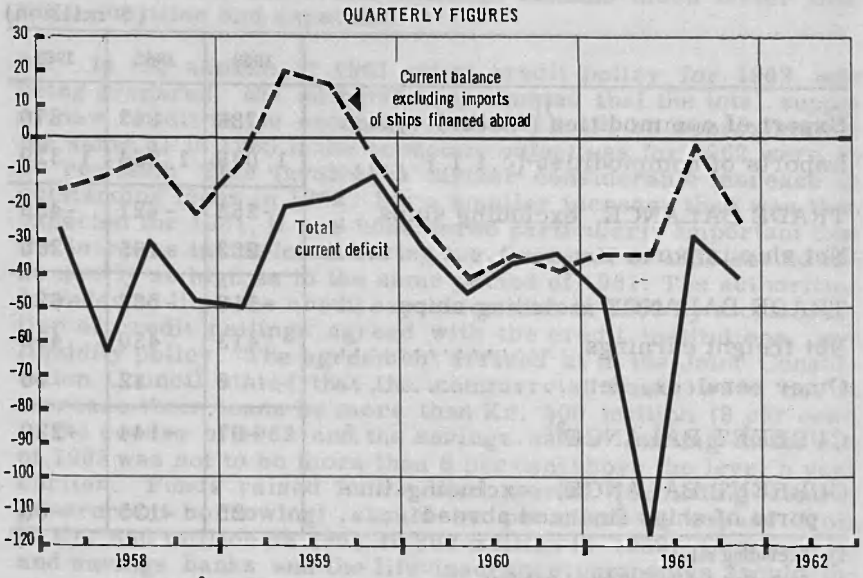


Source : Statistisk Månedshefte.

Diagram 5

CURRENT BALANCE OF PAYMENTS

QUARTERLY FIGURES



Source : Statistisk Månedshefte. Norway submission to the O.E.C.D.

36. The volume of merchandise imports (excluding ships), after an increase of 22 per cent in 1960, rose by 7 per cent in 1961, with particularly strong increases in purchases of motor vehicles and machinery. Imports of automobiles rose sharply after the abolution of purchase regulations in October 1960, and were in the first half of 1961 70 per cent higher than a year earlier; the second half of the year, however, saw a reduction of such imports. There was also a substantial increase in imports of ships.

Table 9. IMPORTS OF MAJOR GROUPS OF COMMODITIES

	$ MILLION 1961	PERCENTAGE CHANGE FROM PREVIOUS YEAR				
				1961		
		1959	1960	YEAR	1st HALF	2nd HALF
Food, beverages and tobacco	149	- 7	10	- 4	- 9	2
Crude materials, excluding fuels..	195	21	29	3	5	6
Fuels	135	- 3	10	5	11	0
Chemicals	97	19	19	1	3	0
Machinery and apparatus	242	6	35	9	15	4
Transport equipment (excluding ships)	94	-15	55	3	46	-29
of which : Motor vehicles .	(86)	(-13)	(36)	(25)	(70)	(-11)
Other manufactured goods 1)...	407	8	18	9	11	6
Total, excluding ships	1,319	5	22	5	9	1
Ships	295	-11	-29	43	40	48
Total	1,614	1	11	10	14	6

1) The figures for 1961 are not quite comparable with those for 1959 and 1960.
SOURCE : Månedsstatistikk over utenrikshandelen.

37. The liberalisation of imports has continued. From 1st January 1963, 86.3 per cent (on a 1948 basis) of total commodity and ship imports can be imported freely, as compared with 85.2 per cent in the second half of 1961. Of the remaining 13.7

per cent, specialised ships (mostly tankers) account for 13.1 per cent, agricultural products 0.4 per cent, and other products (manufactured goods) 0.2 per cent. The liberalisation percentage for the dollar area (1953 basis) will be increased from 95.1 per cent in 1961 to 99.9 per cent in 1963.

38. Foreign demand for Norwegian exports generally remained high in 1961 and continued to strengthen for a wide range of commodities. The volume of exports (excluding ships) increased by 5 per cent, somewhat less than the 7 per cent achieved in 1960. Apart from the commodities grouped under the heading "other products" and ships, it was only exports of chemicals and non-electrical machinery and apparatus that showed a higher increase than in the previous year. Taking advantage of the prolonged investment boom in Western Europe, Norway has managed to expand her exports of machinery by 60 per cent in the last two years. But exports of iron and steel fell from the high level attained in 1960. The decline in exports of pulp reflected partly an agreement with other Scandinavian producers to cut down supply because of weak demand.

Table 10. EXPORTS BY MAJOR GROUPS OF COMMODITIES

	$ MILLION 1961	PERCENTAGE CHANGE FROM PREVIOUS YEAR				
				1961		
		1959	1960	YEAR	1st HALF	2nd HALF
Fish and other sea-products	155	2	- 6	- 1	- 3	2
Pulp	74	- 3	11	- 7	- 4	-10
Paper	98	11	11	4	8	0
Chemicals	82	17	1	6	3	8
of which :						
Fertilizers	45	17	- 1	8	6	12
Metals	231	18	13	- 1	- 0	- 1
of which :						
Iron and steel	70	22	26	- 9	- 7	-12
Aluminium	76	16	7	5	4	6
Machinery, etc.	46	8	36	20	20	20
Ships	60	16	43	45	8	81
Other products	183	6	9	14	18	11
TOTAL	929	9	9	6	3	8

SOURCE : Manedsstatistikk over utenrikshandelen.

Table 11. BALANCE OF PAYMENTS, CAPITAL TRANSACTIONS

($ million)

	1959	1960	1961
Deficit on current balance	97	144	229
Redemption of debt	50	42	70
Deficit before borrowing	147	186	299
Capital inflow	199	205	328
of which :			
Public borrowing	10	52	40
Borrowing on ships (net)	122	9	141
Other known borrowing	43	71	90
Grants from abroad (net)	9	20	15
Errors and omissions	15	53	42
Increase in foreign exchange holdings	52	19	29

SOURCE : Statistisk Månedshefte

39. In 1961, the net capital inflow from abroad (including errors and omissions) was sufficient to cover the deficit in the current balance of payments and to finance an increase in the foreign exchange reserves of $ 29 million. The rise in imports of ships was accompanied by a strong increase in shipping credits. The borrowing of the commercial banks in order to finance domestic lending was also an important source of foreign capital. On the other hand, other private borrowing seems to have decline somewhat.

IV. PROSPECTS

40. On the basis of present trends and policies, output and demand are likely to expand throughout 1962. Foreign demand, although weak in some areas, should provide for some increase in exports, and budgetary and monetary policies seem to leave room for a fairly strong expansion of home demand. Credit policy envisages an 8 per cent increase in the State Banks' lending activities; about 5 per cent of the lending budget has however been kept in abeyance. Existing credit agreements imply an 8 per cent increase in commercial and savings banks credit (excluding lending in foreign currency). The government budget for 1962, as adopted by the Storting in December, was slightly more

contractionary than the previous budget, but recent developments, including an increase in civil service salaries, have tended to weaken rather than strengthen the budget. Although revenues may rise faster than envisaged, it is likely that the budget will be somewhat less contractionary in 1962 than it was in 1961. In spite of the high utilisation of resources at the beginning of the year, the authorities expect a 4 per cent increase in the real gross national product in 1962 as a whole, with output per person employed rising by about 3.5 per cent.

41. Such indicators as exist suggest that investment demand will remain strong. A recent survey showed that a sample of industrial enterprises planned to increase their fixed asset formation in 1962 by some 45 per cent. In the fourth quarter of 1961 the inflow of new orders to the engineering industry reached a peak and the applications for building permits received from industry and commerce in this period represented a 70 per cent larger volume than those received a year earlier. It was the intention of the authorities to limit the expansion in real gross fixed asset formation to 3 to 4 per cent, with a 4 per cent increase in construction, and a 6 to 7 per cent increase in equipment, excluding ships; investment in ships is not thought likely to change much. The authorities expect some weakening of inventory demand, following the strong increase in stocks in the two preceding years.

42. Developments in the first quarter of 1962 point to a stronger expansion in fixed investment than expected by the authorities. Imports of machinery and equipment were 19 per cent higher than a year earlier and output in the engineering industry rose by 6 per cent. At the end of March the volume under construction was 5 per cent higher than a year ago. These developments have no doubt been related to a further strong expansion of bank credit, partly on the basis of foreign borrowing; in the first quarter the commercial banks' credits rose by 7 per cent, at about the same rate as last year.

43. The authorities expect an increase in real public consumption of 6 per cent and one of 3 to 4 per cent in private consumption. In the first four months of the year retail sales of consumers' goods showed an increase of 2 - 3 per cent in real terms. The rise in incomes points to a somewhat faster increase in the rest of the year. A number of the wage agreements concluded last year provided for further increases in wages in 1962, pensions were raised by 25 per cent on 1st April, and a recent settlement provides for a 10 per cent increase in civil service salaries. Total nominal incomes after tax may rise by as much as 9 to 10 per cent from 1961 to 1962. Although some further increase in prices is probable, real private consumption could rise faster than previously envisaged.

44. The current external deficit is - according to the Revised National Budget - expected by the authorities to decline somewhat to $ 185 million in 1962, largely because of lower imports

of ships. The trade balance excluding ships, with increase of 6 per cent in exports and 4 per cent in imports, is not expected to change much. Net invisible receipts are thought likely to rise somewhat, mainly because of higher shipping earnings. The authorities expect to finance most of the current deficit and contractual debt repayments (which together are estimated at some $ 265 million) by foreign borrowing.

45. The current deficit in the first quarter ($ 62 million) was higher than a year earlier ($ 41 million) despite a $ 12 million decline in imports of ships. The trade deficit rose. Exports showed only a small increase, partly because of a relatively poor fish catch. Merchandise imports (excluding ships) were 13 per cent higher than a year ago, with a particularly strong increase in imports of equipment. The foreign exchange reserves in the first quarter declined by $ 44 million to $ 430 million, which represents 3 - 4 months imports at the current rate. The tendency points towards a somewhat higher deficit in the current balance of payments than estimated in the National Budget.

V. CONCLUSIONS

46. In 1961 the pressure of demand on resources became excessive, with strained conditions in the labour market. There were indications that the situation eased somewhat in the second half of the year, but the expansionary forces gathered momentum again in the first months of 1962. There is clearly a possibility that domestic demand will rise faster than expected by the Norwegian authorities and tend to outstrip production; with a high rate of utilisation of resources in 1961, the scope for expansion in 1962 is unlikely to be much higher than the 4 per cent forecast by the Norwegian authorities. Present trends therefore seem to call for some restraint on the expansion of demand.

47. It is, of course, not possible to single out one individual type of expenditure as responsible for an excessive increase in total demand. But it is clear that developments in the first few months of the present year point to a much sharper increase in credit-financed demand in 1962 than is assumed in the National Budget. There has in particular been a further strong increase in commercial bank credits, especially credits in foreign currency which, until June 1962, were not covered by any credit agreement.

48. The increase in foreign finance provided by commercial bank borrowing abroad clearly has had the effect of widening the base for expansion of home demand. As long as bank credits of this type were not covered by the credit agreements, the usefulness of the agreements as an anticyclical weapon was also impaired. The additional agreements covering foreign borrowing and the principles laid down by the authorities (cf. paragraph 34) represent an improvement in the method of controlling credit expansion. Should the measures recently introduced not

prove successful, the Government might consider it appropriate to extend the agreed ceilings to cover all commercial bank credits or to take other steps which would prevent an undesirable expansion of total credit, for instance by using the reserve requirements more actively. If the activities currently being financed by the commercial banks are considered to be of special importance, more restrictive measures might, of course, be introduced for other branches of the credit system.

49. Measures to limit the loans granted in foreign currency might well lead to a decline in the commercial banks borrowing abroad. However, insofar as an inflow of short-term funds is deemed desirable, the authorities can to some extent influence its volume by liquidity and interest rate policy. But it is clear that these foreign credits or deposits represent a volatile inflow of capital and that the direction of the flow of short-term funds may change quickly as a result of developments in international financial markets. The commercial banks foreign liabilities may not be excessive in relation to the official foreign exchange reserves, but these liabilities are growing fast and represent an unstable element in the foreign exchange situation. It is therefore a matter for consideration how far an inflow of short-term funds is desirable.

50. To the extent that the expansion of credit financed demand was restricted, the need for a tighter budget policy would be correspondingly reduced. There may, however, be room for argument whether investment should be made to bear the full brunt of demand restraints. Private consumption has risen strongly over the last three years, and rather more than foreseen in the long-term programme for this period. In many sectors the removal of tariffs resulting from present integration programmes leads to higher investment requirements. During the first part of 1962, the increase in private consumption was moderate. In view of the present strain on resources, it is important that consumers' expenditure continues to expand at a somewhat slower pace than production, as assumed by the National Budget. The Government should, therefore, be prepared to counteract any tendency towards a faster increase. It would in any case seem essential, under present circumstances, to avoid measures which would lead to a weakening of the budget and render more difficult an improvement of the foreign balance and the restoration of price stability.

51. The strong upward movement of prices over the last twelve months has been due to conditions at home; import prices have remained virtually stable. The rise in prices, although influenced by excess demand conditions, has no doubt been closely related to increases in wages and agricultural incomes; the settlements in the recent wage and income round went well beyond the limits compatible with price stability. Costs are rising in most countries and the longer term trend in Norway has not been unfavourable when compared with developments

elsewhere. But it is clear that the recent significant increase in costs runs counter to the need for a strengthening of the competitive position of industries more directly affected by economic integration in Europe.

52. The persistent longer-term tendency in Norway, as in most other countries, for wages and other incomes to rise faster than productivity, has underlined the need for a wages and incomes policy. This is a particularly difficult matter for economic and social policy, and no standard approach applicable to all countries exists. Nevertheless, efforts to bring the movement of nominal incomes into line with the growth of real resources are essential for the maintenance of price stability. In Norway wage negotiations are already centralised for large groups of wage earners. But there is still scope for better co-ordination of wage and income settlements. Better co-ordination on a nation-wide basis, providing for full confrontation of claims and views of all parties concerned, would facilitate an assessment of the combined effect of the proposed income adjustments, and it should help to bring the movement of nominal incomes more into line with productivity trends.

53. Several measures, including government financial assistance and tax concessions, are being deployed to encourage the development of the less-advanced districts where the labour force is not fully employed. It is also important that the expansion of established enterprises with growth possibilites should not be hampered by a shortage of labour and various measures to encourage the movement of workers have been adopted. Although the authorities are already taking steps to influence the geographical distribution of residential construction, the shortage of housing in the more developed districts remains an important obstacle. To achieve a better utilisation of existing labour resources, more vigorous action may be required.

54. In the years ahead, Norway intends to play its full role in achieving the growth target that O.E.C.D. countries have set themselves for the 1960's. A somewhat faster increase in the labour force than previously should facilitate expansion. And the Norwegian long-term programme for 1962-65 aims at maintaining a high rate of fixed asset formation, largely on the basis of domestic savings. In this period the real gross national product is expected to rise by 4 per cent per year. Various measures introduced or under consideration are designed to counteract cyclical fluctuations; these include in particular a more active labour market policy and a system of tax-free investment reserves encouraging private enterprises to set aside funds when activity is high for future capital expenditure when some stimulus is required. With active growth policies and further efforts to ensure income developments consistent with the maintenance of price stability, prospects for continued steady growth should be favourable.

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STATISTICAL ANNEX

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Table I. GROSS NATIONAL PRODUCT AND EXPENDITURE IN THE 1950's

1954 prices

	N. Kr. million			PERCENTAGE DISTRIBUTION			PERCENTAGE CHANGE			ANNUAL PERCENTAGE CHANGE		
	1950	1955	1960	1950	1955	1960	1950-1955	1955-1960	1950-1960	1950-1955	1955-1960	1950-1960
1. PRIVATE CONSUMPTION	12,674	14,323	16,555	66	62	62	13	16	31	2.6	2.9	2.7
a) Durables	851	1,236	1,745	4	5	7	45	41	105	7.8	7.1	7.5
b) Other	11,823	13,087	14,810	61	57	55	11	13	25	2.1	2.5	2.3
2. PUBLIC CONSUMPTION	2,056	2,842	3,581	11	13	13	38	26	74	6.7	4.7	5.7
a) Defence	422	837	859	2	4	3	98	3	104	14.7	0.6	7.4
b) Civil	1,634	2,005	2,722	8	9	10	23	36	67	4.2	6.3	5.2
3. GROSS DOMESTIC FIXED ASSET FORMATION	5,562	7,101	7,342	29	31	27	28	3	32	5.0	0.7	2.8
a) Residential construction	931	1,191	1,062	5	5	4	28	-11	14	5.0	-2.1	1.3
b) Other construction	1,675	1,880	2,156	9	8	8	12	15	29	2.3	2.8	2.6
c) Transport equipment	1,886	2,379	2,114	10	10	8	26	-11	12	4.7	-2.1	1.2
d) Other equipment	1,070	1,651	2,010	6	7	7	54	22	88	9.1	4.0	6.5
4. CHANGE IN STOCKS	289	81	473	1	0	2	.	.	.	.		
5. EXPORTS OF GOODS AND SERVICES	6,805	9,237	13,020	35	40	49	36	41	91	6.3	7.1	6.7
6. IMPORTS OF GOODS AND SERVICES	8,129	10,619	14,086	42	46	53	31	33	73	5.5	5.8	5.7
7. GROSS NATIONAL PRODUCT AT MARKET PRICES	19,257	22,965	26,781	100	100	100	19	17	39	3.6	3.1	3.4
8. GROSS NATIONAL PRODUCT AT FACTOR COST	17,491	20,921	24,211	100	100	100	20	16	38	3.6	3.0	3.3
a) Agriculture, forestry and fishing	2,756	2,681	2,905	16	13	12	- 3	8	5	-0.6	1.7	0.5
b) Manufacturing, mining and public utilities	5,471	6,829	8,108	31	33	34	25	19	48	4.5	3.5	4.0
c) Construction	1,427	1,617	1,469	8	8	6	13	- 9	3	2.5	-1.8	0.3
d) Other	7,837	9,794	11,729	45	46	48	24	20	50	4.4	3.7	4.1

SOURCE : O.E.C.D. Statistical Bulletins, Norway's submissions to the O.E.C.D. and Secretariat estimates (item 3c and 3d for 1950) based upon Nasjonalregnskap 1938 og 1946-1958.

Table II. GROSS FIXED ASSET FORMATION BY INDUSTRY OF USE IN THE 1950's

1954 prices

	N. Kr. million			PERCENTAGE DISTRIBUTION			PERCENTAGE CHANGE			ANNUAL PERCENTAGE CHANGE		
	1950	1955	1960	1950	1955	1960	1950-1955	1955-1960	1950-1960	1950-1955	1955-1960	1950-1960
Agriculture, forestry, fishing and whaling ...	[490]	617	634	9	9	9	26	3	29	4.7	0.6	2.6
Manufacturing and mining	[1,000]	1,148	1,445	18	16	20	15	26	45	2.8	4.7	3.8
Construction	[40]	113	121	1	2	2	183	7	203	23.1	1.5	11.7
Electricity, gas and waterworks	[440]	504	566	8	7	8	15	12	29	2.8	2.3	2.6
Transportation and communication:												
Total	[1,800]	2,249	2,029	32	31	27	25	-10	13	4.6	-2.1	1.2
i) Excluding ships and boats	[300]	379	389	5	5	5	26	3	30	4.8	0.5	2.6
Dwellings	930	1,191	1,062	17	17	14	28	-11	14	5.1	-2.2	1.3
Public administration	[520]	694	789	9	10	11	33	14	52	5.9	2.6	4.3
Other service industries	[340]	585	696	6	8	9	72	19	105	11.5	3.5	7.4
TOTAL	5,560	7,101	7,342	100	100	100	28	3	32	5.0	0.7	2.8
i) Excluding ships and boats	[4,060]	5,231	5,702				29	9	40	5.2	1.9	3.5

SOURCE: Norway's submissions to the O.E.C.D. and Secretariat estimates for 1950 based upon Nasjonalregnskap 1938 og 1946-1958.

Table III. NATIONAL PRODUCT AND EXPENDITURE 1958-1961

	PERCENTAGE CHANGE FROM PREVIOUS YEAR						USE OF GROSS NATIONAL PRODUCT IN 1961	
	VOLUME			PRICES				
	1959	1960	1961	1959	1960	1961	N. Kr. MILLION	PER CENT
1. PRIVATE CONSUMPTION	4.6	6.3	5.2	1.2	- 0.1	2.3	20,391	60
a) Durables	5.3	23.4	7.5	0.0	- 0.7	1.0	2,006	6
b) Other	4.5	4.5	4.8	1.3	0.2	2.5	18,385	54
2. PUBLIC CONSUMPTION	10.0	3.1	3.0	3.0	1.9	2.4	4,697	14
a) Defence	5.1	- 3.4	2.4	2.0	2.8	5.5	1,110	3
b) Civil	11.8	5.4	3.2	3.2	1.4	1.5	3,587	11
3. GROSS FIXED CAPITAL FORMATION	- 7.4	1.8	9.8	2.5	0.4	2.4	9,955	29
a) Residential construction	- 0.8	1.4	8.7	2.7	1.2	3.5	1,417	4
b) Other construction	1.4	3.4	2.6	1.0	1.8	5.9	3,139	9
c) Transport equipment	-18.4	-12.0	19.6	6.4	- 1.5	- 0.5	2,944	9
d) Other equipment	-13.0	19.6	7.8	- 3.1	1.4	1.9	2,455	7
4. CHANGE IN STOCKS	.	.	.	.	.	.	603	2
5. EXPORTS OF GOODS AND SERVICES	9.7	9.4	6.3	- 2.3	- 2.0	- 1.5	14,207	42
6. IMPORTS OF GOODS AND SERVICES	5.4	11.4	9.0	- 2.4	- 1.8	- 0.5	15,844	47
7. GROSS NATIONAL PRODUCT AT MARKET PRICES	3.8	5.8	5.0	1.7	0.1	2.2	34,009	100

SOURCE : Norway's Submission to the O.E.C.D.

Table IV. GROSS NATIONAL PRODUCT BY ORIGIN

Percentage volume changes over previous years

	1959	1960	1961
Agriculture	5.4	7.8	0.3
Forestry, fisheries, whaling and mining	-0.9	-0.9	0.1
Manufacturing (including electricity)	5.0	6.2	7.3
Building and construction	4.0	3.7	2.8
Total of above	4.4	5.3	4.0
Commerce	3.7	9.5	7.3
Shipping	6.3	9.4	7.8
Other transport	6.0	7.6	4.7
Other services	4.6	2.8	4.0
Total services	4.9	6.9	6:0
GRAND TOTAL	4.7	6.2	5.0

SOURCE : Økonomisk utsyn over året 1961, Statistisk Ukebefte 1962 : 13.

Table V. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

	UNITS	1959				1960				1961				1962
		1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr
1. INDUSTRIAL PRODUCTION														
a) Total, seasonally adjusted	1958 = 100	102	105	107	109	111	115	115	117	119	122	125	126	125
b) Export industries unadjusted	corresponding quarter 1958 = 100	106	114	109	108	117	117	123	115	119	123	131	120	119
c) Home industries unadjusted	"	96	108	107	107	108	115	117	116	117	124	123	126	127
i) Capital goods, unadjusted	"	94	104	104	105	107	109	109	114	115	115	117	120	123
ii) Consumer goods, unadjusted ...	"	98	114	111	109	112	120	119	118	119	132	131	132	130
d) Iron and steel works, unadjusted	"	108	114	112	114	126	127	130	125	130	133	138	133	136
e) Engineering, unadjusted	"	95	100	101	104	105	108	111	117	117	117	119	123	125
f) Wood-processing industry, unadjusted.	"	106	125	117	94	126	133	130	98	129	140	133	99	127
g) Chemical industry, unadjusted	"	104	117	111	105	114	116	117	109	135	160	152	148	144
h) Textile industry, unadjusted	"	108	129	119	126	124	128	113	112	117	128	121	115	119
i) Clothing and shoe industry, unadjusted.		95	120	123	118	120	125	125	121	114	134	124	121	122
2. DWELLING UNITS STARTED	Thousands	3.5	7.8	8.0	7.9	3.9	7.8	8.6	7.7	5.3	8.0	8.4	7.2	..
3. MANPOWER														
a) Unemployed, seasonally adjusted	Thousands	21.2	22.8	25.9	24.0	15.9	16.8	17.2	18.6	12.7	11.8	13.0	14.1	12.7
b) Jobs vacant, seasonally adjusted	"	22.3	21.1	20.7	23.9	24.9	22.9	23.6	22.7	23.4	24.2	24.0	22.4	..
c) Registered unemployed [1].....	Per cent	3.6	1.6	1.1	2.6	2.8	1.2	0.7	2.0	2.3	0.8	0.4	1.5	2.1
d) Hours worked per week (male industrial workers)	Hours	41.9	39.5	35.8	42.0	41.2	38.3	36.2	41.5	..	..	..	..	..
4. ORDERS IN METAL SECTOR [2]	1958 = 100													
a) New orders		119	123	149	159	145	143	121	157	160	159	131	216	168
b) Total order stock, end of period		103	107	127	143	152	157	156	152	156	163	170	199	206
5. STOCKS IN MANUFACTURING AND WHOLESALE TRADE	1958 = 100													
a) Industry's own products		104	106	100	92	99	104	106	100	104	112	119	116	120
b) Raw materials		90	100	101	95	86	96	97	96	92	105	112	106	96
c) Wholesale trade		105	103	109	109	106	102	109	111	113	109	116	117	111
6. TURNOVER IN RETAIL TRADE	corresponding quarter 1958 = 100	103	109	106	107	112	116	116	115	123	124	126	122	132

SOURCE : O.E.C.D., Statistical Bulletins, Statistisk Månedshefte.

1) Registered wholly unemployed as per cent of total employees.

2) Excluding shipyards.

Table VI. WAGES AND PRICES

1958 = 100

	1959				1960				1961				1962
	1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr
1. HOURLY EARNINGS IN INDUSTRY	106	112	107	111	110	118	111	114	115	123	122	126	..
2. COST OF LIVING	102	102	103	103	102	103	103	103	103	104	105	107	108
a) Food	103	102	102	102	102	102	102	101	101	102	105	107	107
3. WHOLESALE PRICES	100	100	101	101	101	100	100	101	100	101	102	103	103
a) Producer goods	99	99	100	101	101	100	100	101	100	100	102	103	103
b) Consumer goods	100	99	99	99	99	99	97	98	98	99	99	101	101
c) Food products	102	100	101	101	100	100	98	100	99	97	99	102	102
4. BUILDING COSTS (Dwellings in Oslo)	101	102	102	103	103	103	103	103	104	106	109	110	110

SOURCE : O.E.C.D. Statistical Bulletins. Statistisk Manedshefte.

Table VII. MONETARY SURVEY

N. Kr. million at end of period

	1959				1960				1961				1962
	1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr
CENTRAL BANK													
1. Foreign assets, net	783	1,465	1,490	1,658	1,701	1,754	1,759	1,861	1,742	1,783	1,803	1,842	1,570
2. Bonds and treasury bills	195	196	190	189	214	194	188	185	209	174	170	199	206
3. Advances	89	142	125	99	124	82	81	75	94	167	122	106	122
4. Notes in circulation	3,352	3,432	3,464	3,675	3,460	3,611	3,635	3,823	3,360	3,747	3,801	4,043	3,969
5. Government deposits	1,628	2,381	2,164	2,189	2,528	2,442	2,150	1,980	2,241	2,412	2,267	1,816	1,969
6. Other deposits	1,254	1,169	1,310	1,375	1,183	1,101	1,361	1,376	1,250	1,032	1,079	1,329	1,153
COMMERCIAL BANKS AND POSTAL CHEQUE SERVICE													
7. Cash	396	492	506	803	345	381	447	817	366	331	347	789	458
8. Foreign assets, net	482	448	401	308	329	288	310	249	188	- 182	- 252	- 243	- 380
9. Bonds and treasury bills	802	811	767	761	837	745	674	735	697	692	662	770	764
10. Advances in kroner [1]	5,227	5,337	5,317	5,265	5,546	5,857	5,859	5,821	6,268	6,664	6,525	6,299	6,597
11. Advances in foreign currency [1]	39	56	138	207	173	170	173	311	287	761	585	612	809
12. Current deposits [1]	2,420	2,662	2,401	2,680	2,443	2,649	2,463	2,813	2,535	2,684	2,481	2,826	2,490
13. Savings deposits [1]	1,765	1,768	1,800	1,808	1,891	1,921	1,937	1,989	2,056	2,054	2,046	2,094	2,168
14. Time deposits [1]	1,650	1,628	1,613	1,667	1,754	1,726	1,768	1,886	2,042	2,068	2,045	2,070	2,171
SAVINGS BANKS [2]													
15. Bonds and treasury bills	2,250	2,240	2,297	2,251	2,397	2,355	2,397	2,346	2,487	2,436	2,444	2,430	2,548
16. Advances [1]	4,768	4,873	4,950	5,041	5,158	5,307	5,430	5,500	5,644	5,806	5,858	5,891	6,031
17. Deposits [1]	7,574	7,678	7,785	7,971	8,061	8,156	8,264	8,547	8,619	8,681	8,779	9,057	9,177
STATE BANKS													
18. Advances	5,876	5,996	6,096	6,224	6,326	6,441	6,576	6,727	6,850	6,969	7,120	7,309	7,438
MORTGAGE BANKS													
19. Advances	1,502	1,522	1,548	1,582	1,640	1,658	1,694	1,775	1,811	1,842	1,898	1,954	2,013
LIFE INSURANCE COMPANIES													
20. Government bonds	1,029	1,044	1,049	1,041	1,089	1,196	1,089	1,077	1,140	1,144	1,134	1,152	1,184
21. Other bonds	1,397	1,398	1,424	1,444	1,472	1,467	1,485	1,519	1,550	1,565	1,580	1,556	1,523
22. Advances	1,846	1,903	1,950	2,015	2,067	2,110	2,184	2,279	2,336	2,402	2,486	2,602	2,713

SOURCE : Statistisk Ukebefte.

1) The figures relate to private domestic non-banking sector only.

2) Including the Post Office Savings Bank.

Table VIII. PUBLIC INCOME AND EXPENDITURE

N. Kr. million

	1959			1960			1961			1962 BUDGET		
	CENTRAL GOVERNMENT	LOCAL GOVERNMENT	TOTAL	CENTRAL GOVERNMENT	LOCAL GOVERNMENT	TOTAL	CENTRAL GOVERNMENT	LOCAL GOVERNMENT	TOTAL	CENTRAL GOVERNMENT	LOCAL GOVERNMENT	TOTAL
A. Transfers to the public sector [2]	7,227	2,597	9,854	7,659	2,753	10,412	8,447	3,104	11,551	9,230	3,300	12,530
B. Transfers from the public sector ...	3,718	228	3,946	3,964	234	4,198	4,597	210	4,807	5,000	210	5,210
C. Disposable income (A-B) = (D+E) ..	3,509	2,369	5,878	3,695	2,519	6,214	3,850	94	6,744	4,230	3,090	7,320
D. Public Consumption	2,211	1,638	3,849	2,219	1,708	3,927	2,326	1,874	4,200	2,660	2,040	4,700
1. Civil	1,156	1,633	2,789	1,165	1,703	2,868	1,188	1,869	3,057	1,444	2,035	3,479
2. Military	1,055	5	1,060	1,054	5	1,059	1,138	5	1,143	1,216	5	1,221
E. Total public savings	1,298	731	2,029	1,476	811	2,287	1,524	1,020	2,544	1,570	1,050	2,620
F. Capital formation, net [3]	727	942	1,669	859	997	1,856	866	884	1,750	1,040	930	1,970
G. Financial saving (E-F)	571	- 211	360	617	- 186	431	658	136	794	530	120	650

SOURCE : Gjennomføringen av nasjonalbudsjettet : 1961, 1962.
1) Including extra-budgetary funds and social security schemes.
2) Including estimated accumulation of funds in public enterprises.
3) Excluding investment in central government corporations.

Table IX. TRADE AND PAYMENTS

$ million; 1958 = 100

	1959	1960	1961	1959				1960				1961				1962
				1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr
VALUE OF TRADE, unadjusted																
1. Imports (c.i.f.) excluding ships	1 039	1 264	1 329	235	270	244	290	295	321	299	349	318	352	318	341	359
2. Imports of ships	292	208	296	97	59	88	48	65	61	49	31	70	106	67	53	63
3. Exports (f.o.b.)	815	884	931	192	205	199	219	225	220	205	234	231	225	236	239	245
4. TRADE BALANCE	- 516	- 586	- 694	- 140	- 124	- 133	- 119	- 135	- 162	- 143	- 146	- 157	- 233	- 149	- 155	-177
5. Trade balance, excluding ships	- 253	- 421	- 459	- 38	- 72	- 51	- 82	- 79	- 112	- 101	- 129	- 95	- 141	- 106	- 117	-128
SERVICES																
6. Shipping earnings, net	413	430	450	95	104	104	110	107	108	106	109	113	109	112	116	111
7. Other services, net	6	12	15	- 5	1	13	- 3	2	4	2	4	1	7	9	- 2	3
8. BALANCE ON SERVICES	419	442	465	90	105	117	107	109	112	108	113	114	116	121	114	114
9. BALANCE ON GOODS AND SERVICES	- 97	- 144	- 229	- 50	- 19	- 16	- 12	- 26	- 50	- 35	- 34	- 43	- 117	- 28	- 41	- 63
10. Excluding ships	166	21	6	42	33	66	25	30	0	7	- 16	19	- 25	15	- 3	- 14
CAPITAL TRANSACTIONS, ETC																
11. Transfers, net	9	20	15	1	2	2	4	2	11	3	4	2	6	3	4	2
12. Official loans, net [1]	- 32	13	5	- 4	- 15	- 5	- 8	13	- 2	- 1	3	5	5	- 4	- 2	- 5
13. Loans connected with trade in ships	122	9	141	43	40	34	5	6	5	3	- 5	13	83	28	17	18
14. Other known capital, net	34	68	55	- 3	3	12	22	7	16	19	26	12	18	8	17	- 4
15. Errors and omissions	16	53	42	9	16	- 11	2	6	21	14	13	4	22	2	13	8
16. CHANGE IN FOREIGN EXCHANGE RESERVES	52	19	29	- 4	27	16	13	8	1	3	7	- 7	17	9	8	- 44
17. HOLDINGS OF GOLD AND FOREIGN EXCHANGE (end of period)	428	447	474	372	399	415	428	436	437	440	447	440	457	466	474	431
VALUE OF TRADE, seasonally adjusted																
18. Imports (c.i.f.)	.	.	.	345	295	354	332	351	358	369	376	389	423	417	395	405
19. Exports (f.o.b.)	.	.	.	196	199	202	210	217	225	210	222	227	226	247	232	237
VOLUME INDICES [2] 1958 = 100																
20. Imports, seasonally adjusted	109	133	143	102	103	115	123	123	128	135	150	138	139	150	148	152
21. Exports, seasonally adjusted	111	119	125	108	110	113	113	116	121	115	120	127	122	125	125	130
PRICE INDICES 1958 = 100																
22. Imports	95	96	95	97	96	94	95	96	97	96	95	94	95	94	94	97
23. Exports	98	98	97	99	96	97	98	99	98	98	97	96	97	98	97	92
24. Terms of trade	103	102	102	102	100	103	103	103	101	102	102	102	102	105	103	98

SOURCE : O.E.C.D., Statistical Bulletins, Statistisk Manedshefte.

1) Including E.P.U. settlements.

2) Excluding ships.

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